For a speculative opportunity similar to that of American Water Works as presented in the text, see the following:

In 1935 the $6 Cumulative Preferred stock of United Light & Power Co. sold at 3 1/2 per share, or a total valuation for the issue of $2,100,000, junior to funded debt of the system and preferred stocks of subsidiaries totaling $329,422,455. The magnitude of this heavily pyramided structure as measured by gross revenues and senior capitalization made it apparent that even a slight improvement in net for charges would greatly enhance the earnings of the parent company preferred stock. By 1937 the price of this issue had risen to 75 7/8 from the low of 3 1/2 in 1935. The high price for the preferred issue as early as 1936 was 68.

NOTE 60

The sequel to this example (presented as above in our 1934 edition) may be of interest.

The rise in the price of gold advanced the sales of Wright-Hargreaves to between 7 and 8 millions and increased the earnings before depletion to about 72 cents per share in each of the years 1934–1938. The stock rose to a high of 10.30 in 1934 and sold at 6 1/8 at the end of 1939.

Recovery from depression increased the sales of Barker Bros. to $14,314,000 in 1937. In 1936 net earnings reached $666,000, equal to $23.67 per share of preferred and $3.36 per share of common. After regular preferred dividends adjusted to reflect the recapitalization of 1936 which disposed of accumulated preferred dividends, these earnings were equivalent to $2.67 per share of common. The price of the preferred advanced to 131 in 1936 and to the equivalent of 140 in 1937, and the common reached a high of 32 in 1937. At the end of 1939 the common sold at 8 1/8; the preferred at the equivalent of 80. Note that the preferred proved a much better speculation than the common—a characteristic feature of low-priced senior issues in relation to their common stocks.

NOTE 61

PRICES, EARNINGS, AND ASSET VALUES OF INDUSTRIAL COMMON STOCKS

A Comprehensive Study of the New York Stock Exchange List in 1938

At the close of 1938 all the common stocks listed on the New York Stock Exchange were selling for about 41 billion dollars. This value was just midway between the high point of 55 billions in March 1937 and the low point of 27 billions recorded a year later. There has been apparently little disposition in